

Daily Need to Know

Thursday, 27 August 2026 · Pre-market brief

Coverage window, capture method and edition notes are at the back, in section 16.

1 Market snapshot — the close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
US CASH EQUITIES — SETTLED WED 26 AUG 16:00 ET (04:00 GMT+8), 8H11M OLD AT CAPTURE			
S&P 500	7,675.70	▼ 1.58 (−0.02%)	Range 7,657.41–7,690.73, a 0.43% band — the narrowest of the majors. Closed 55% up the range, so flat but not weak. Sits 1.8% below the 7,816.70 52-week high and at 31% of Hedgeye's 7611–7819 band.
Nasdaq Composite	26,130.20	▼ 21.10 (−0.08%)	Range 26,021.63–26,189.81. 3.9% below its 27,190.21 high — a lower high versus the S&P's, which is precisely why Hedgeye is not long it.
Dow Jones Industrial	53,463.88	▼ 113.52 (−0.21%)	Weakest major despite industrials leading the sector tape — an index-composition effect, not a breadth signal.
Russell 2000	3,005.90	▼ 4.12 (−0.14%)	Held the 3,000 handle by 5.9 points. Low of 2,999.91 breached it intraday and it closed back above.
Philadelphia SOX	11,611.24	▲ 23.20 (+0.20%)	The only major to close green — and still 20.8% below its 14,655.29 52-week high. The semis are in a drawdown the headline indices are not.
US EQUITY FUTURES — LIVE AT 12:11:59 GMT+8, 6H12M INTO A GLOBEX SESSION THAT REOPENED 06:00 GMT+8			
E-mini S&P (ES)	7,727.00	▲ 37.00 (+0.48%)	Settled 7,690.00. Trading 51.3 points above S&P cash — roughly 14 points of that is carry, the rest is the overnight repricing. Volume 65,478.
E-mini Nasdaq (NQ)	29,543.25	▲ 253.75 (+0.87%)	The night's leader on NVIDIA. Range 29,432.50–29,654.75. Volume 56,847 — near ES's, which is abnormal and locates the entire session's conviction in one sector.
E-mini Dow (YM)	53,696	▲ 175 (+0.33%)	Settled 53,521. Thin at 3,836 lots.
E-mini Russell (RTY)	3,011.50	▲ 1.40 (+0.05%)	The laggard by an order of magnitude. Small caps are not being invited to this rally — a one-sector bid, not a risk-on tape.
US TREASURY YIELDS — LIVE, TOKYO CASH SESSION			
US 10-year	4.656%	▲ 0.7bp	At 43% of Hedgeye's 4.60–4.73 band, TREND bullish. Keith flagged 4.67% as the immediate-term trade level broken on oil's decline.
US 30-year	5.175%	▲ 0.3bp	Barely moved. The long end is not the story; the belly is.
US 5-year	4.380%	▲ 2.0bp	Biggest mover on the curve, three times the 10-year's move. The belly is repricing the September cut path after a hot headline PCE.
US 2-year	4.220%	▲ 1.1bp	Sitting exactly on the 4.21% support Keith named as broken. 10s2s spread 43.6bp .
13-week bill	3.782%	▼ 0.5bp	Only tenor to fall. 10Y–3M spread 87.4bp , firmly positive.
ENERGY — LIVE, FRONT-MONTH CONTINUOUS CONTRACTS			
WTI crude (CL1!)	81.83	▼ 0.40 (−0.49%)	At 34.6% of the 79.09–87.01 band, TREND bearish. Down roughly 8–9% over two sessions after breaking both the 84 trade and 83 trend levels.
Brent (BZ1!)	86.51	▼ 1.33 (−1.51%)	Falling three times as fast as WTI, narrowing the spread to 4.68 . Note this contract is days from its month-end roll — see Data-confidence.
Natural gas (NG1!)	2.922	▲ 0.080 (+2.82%)	Trading above the top of its Hedgeye band (2.67–2.90) while the TREND signal reads bearish. The single clearest signal-versus-price conflict on the board.
RBOB gasoline	2.9196	▼ 0.041 (−1.39%)	Following crude down, not gas up. The crack is compressing.
METALS — LIVE SPOT, THE SERIES HEDGEYE'S RANGES NAME			
Gold (spot)	4,625.85	▲ 31.51 (+0.69%)	At 67.8% of the 4365–4750 band. But GLD <i>closed</i> −1.58% in New York — the metal has recovered the entire US session loss overnight.
Silver (spot)	69.118	▲ 1.008 (+1.48%)	

At **73.1%** of 64–71, the highest band position of any Hedgeye long. SLV closed -1.17% in New York; same overnight reversal.

Copper (spot)	6.5719	▲ 0.0106 (+0.16%)	At just 28.8% of 6.50–6.75 despite a bullish TREND — the weakest-positioned of the three metals Hedgeye is long.
CURRENCIES, VOLATILITY AND CRYPTO			
Dollar index (DXY)	99.141	▲ 0.008 (+0.01%)	LIVE. Session range 99.096–99.156 — six hundredths of a point, which is noise, not a move. At 57% of the 98.34–99.75 band, TREND bearish.
USD/JPY	159.351	▲ 0.062 (+0.04%)	LIVE. Pinned. Range 159.114–159.397 through an entire Tokyo morning.
USD/KRW	1,379.28	▼ 6.38 (–0.46%)	LIVE. The won is the day's cleanest risk expression — the Bank of Korea raised to 3.00% this morning and the KOSPI is up 1.5%.
VIX	15.22	▼ 0.24 (–1.55%)	Settled , not live — cash VIX does not price in Asian hours. Closed on its session low of 15.21, at 49% of the 14.01–16.48 band.
Bitcoin	78,850.03	▼ 158.30 (–0.20%)	LIVE, and the only instrument here that has traded continuously. 37.5% below its 126,230 52-week high while equities sit 1.8% off theirs.

▲ higher · ▼ lower · ◆ unchanged. The glyph shows the direction of the quoted number; the colour shows whether that direction favours the asset — so a rising yield reads red (bond prices fell) and a falling USD/KRW reads green (the won strengthened). Cash equity and VIX rows are Wednesday's settle; every other row is a live print from the 12:11:59–12:12:01 GMT+8 capture.

Reconciliation: index closes verified against independent press settle reports; futures rows verified against prior settle via the change figure. Full detail in section 18.

TL;DR

NVIDIA beat on every line and guided to **\$108bn** against a \$104.2bn consensus, and the overnight tape bought it — NQ **+0.87%**, ES **+0.48%**. But look at what did not participate: RTY is up **0.05%**, the SOX closed **20.8%** below its 52-week high, and Bitcoin sits **37.5%** below its own. A blowout from the largest company on earth bought 0.48% on the broad index and nothing at all for small caps. That is a narrowing tape rewarding one name, not an AI trade being re-rated. Meanwhile Jackson Hole opens **today**, and a new Fed chair gives his first keynote there tomorrow into a headline PCE that printed hot.

2 The big picture — what it means

- NVIDIA delivered the quarter the bulls needed and the index barely moved.** Revenue of **\$96.2bn**, up **106%** year on year; EPS **\$2.22**, more than double a year ago; data centre **\$89bn** against \$86.33bn expected, up 117% and now 92% of the company. Next-quarter guidance of **\$108bn ±2%** beat the \$104.2bn consensus and excludes Chinese data-centre revenue entirely. The stock added **4.71%** after hours to 219.53. That flowed into ES as **+0.48%**. A 4.7% move in a \$5.07tn company — a 7.3% index weight — mathematically contributes about 34bp on its own. The index gained 48bp. Almost everything else contributed nothing.
- The semiconductor complex is in a drawdown the headline indices are concealing.** The SOX closed at 11,611.24, **20.8%** beneath its 52-week high of 14,655.29. The S&P is 1.8% off its own. That 19-point gap is the single most important number in this brief, because the story being told this morning is "the AI trade is validated". If it were validated at the complex level, the complex would not be one-fifth below its high going into the print. What was validated is one company's order book.
- Inflation came in hot at the headline on the day before a new Fed chair speaks at Jackson Hole.** July PCE rose **3.7%** year on year, a tenth above consensus; core rose **3.3%**, with monthly core at +0.2%. The five-year yield moved **2.0bp**, three times the ten-year's 0.7bp — the belly of the curve, where the cut path is priced, did the repricing. Kevin Warsh, sworn in on 22 May after a 54–45 Senate confirmation, delivers his first Jackson Hole keynote tomorrow into that print. Markets have no track record to read him from.
- Oil broke, and it is the cleanest macro signal on the board.** WTI has fallen roughly 8–9% in two sessions, taking out both the 84 trade and 83 trend levels Hedgeye names as its Alpha Code. Brent fell **1.51%** overnight against WTI's 0.49%. Falling crude with accelerating earnings is textbook Quad 1 — slowing inflation, accelerating real growth — and it is the reason Hedgeye's rates call and its commodity call are the same call. Keith's formulation: get oil right and you get the signal on Treasury yields right.
- Credit is at a record and small caps are not moving. Both cannot be describing the same economy.** HYG sits at **80%** of its risk range having printed an all-time high, and LQD at 80% of its own. That is a profit cycle in expansion. Yet RTY managed **+0.05%** overnight and the Russell 2000 is 2.1% below its high. Credit is pricing corporate solvency; small caps price domestic demand and financing cost. The gap between them is the honest measure of how narrow this cycle is.
- Bitcoin has decoupled and nobody is leading with it.** At 78,850 it is **37.5%** below its 52-week high, falling a further 0.20% overnight while equity futures rallied. Hedgeye moved BTC, ETH, SOL, COIN, MSTR, CRCL,

AVAX and XRP to the Long Bench on 25 August and MARA to the Short Bench — a wholesale de-risking of digital assets that happened two days ago and has been vindicated since. If the AI trade were a liquidity trade, crypto would be participating. It is not.

7. **Hedgeye's highest-conviction long was the worst sector of the session.** XLV fell **1.00%** on Wednesday, the weakest of the eleven SPDRs, the morning after the Early Look celebrated healthcare revisiting all-time highs. The only sector Hedgeye is short, utilities, rose **0.46%**. One session is not a thesis break — XLV is still +7.8% for August and sits at 45% of its band — but it is the inconvenient number, and it is what a reader needs to see next to the conviction.

3 Rates, currencies & commodities

- **The curve moved in the belly, not the wings.** 5-year +2.0bp to 4.380%, 2-year +1.1bp to 4.220%, 10-year +0.7bp to 4.656%, 30-year +0.3bp to 5.175%. 10s2s at **43.6bp**, 10Y–3M at **87.4bp** — both positive, neither signalling stress.
- **Bond volatility keeps falling.** MOVE at **69.44**, down **3.45%** and well below 75. A hot inflation print that leaves bond vol at the lows is a market that does not believe the print changes the path.
- **The dollar did nothing at all.** DXY 99.141, a 0.008 change on a 0.060-point session range. At 57% of its 98.34–99.75 band with a bearish TREND, it is coiled rather than trending. Hedgeye remains short it.
- **Asian FX is where the NVIDIA read-through actually shows up.** USD/KRW –0.46%, USD/TWD –0.34% — the two semiconductor-export currencies both firmed. USD/CNH at **6.7211** is within 0.01 of its 52-week low of 6.7146, the strongest the offshore yuan has been in a year, and nobody is writing about it.
- **Precious metals reversed the New York session overnight.** Gold spot +0.69% to 4,625.85 and silver +1.48% to 69.118, after GLD closed –1.58% and SLV –1.17%. Silver at **73%** of its band is the most extended of Hedgeye's metals longs; copper at **29%** the least.
- **Natural gas is trading through the top of its range against a bearish signal.** 2.922 versus a 2.67–2.90 band, +2.82% on the day. Either the band moves at the next publication or the breakout fails — this is the position on the board most likely to resolve today.
- **Wheat rose 1.30% to 758** and closed the session at a fresh 52-week high of 767.50 intraday. A soft-commodity breakout against a slowing-inflation thesis is worth watching, not yet worth concluding from.

4 Hedgeye — regime, risk ranges & the Quad path

MACRO DASHBOARD	READING
Live risk-range set	Early Look, " #Quad1 Dollylocks ", Keith McCullough — published 26 Aug 07:52 ET = 19:52 GMT+8 Wednesday . Superseded by Thursday's Early Look at roughly 19:52 GMT+8 today.
Quad path	Stated in prose as July monthly #Quad4 → September #Quad1 . No formal path notation was printed in any publication read this morning, and August is not stated. Nothing further is asserted.
Regime characterisation	Rate of change of inflation slowing, rate of change of real growth accelerating — Goldilocks. Evidence cited: 468 S&P constituents reporting +50% year-on-year EPS acceleration, and oil breaking down.
Credit	High Yield (HYG) printed an all-time high — the Quad 1 credit allocation. Framed explicitly as inconsistent with a recession narrative.
Top US sector style	Healthcare (XLV, FXH) — highest-conviction long. Only sector short is Utilities (XLU).
Exposure	Cut from 12 longs and one short to four longs in Real-Time Alerts after the bounce. Explicitly not chasing strength.
Positioning changes	ETF Pro Plus, 26 Aug 22:33 GMT+8 — adding long FXC (Canadian dollar), PFI (rate hedge); adding short JOJO (credit rotation); removing long EPHE (Philippines), IVOL (rate hedge). Signal Strength Stocks, 27 Aug 01:01 GMT+8 — 84 names, added ETSY and MNTN, removed WRBY, JACK, DG.

PFI added and IVOL removed on the same morning: both are rate hedges, so this is an expression change within a maintained view, not a reversal of it.

INSTRUMENT	RISK RANGE	TREND	LIVE / SETTLE	WHERE IT STANDS
10Y UST yield	4.60–4.73	bullish	4.656	43% of band, mid-range
High Yield (HYG)	79.53–79.99	bullish	79.90	80% — 9c from the ceiling, at record
Inv. Grade (LQD)	105.5–107.1	bearish	106.78	80% of band <i>against</i> a bearish signal
S&P 500 (SPX)	7611–7819	bullish	7,675.70	31% — lower third, room above
Nasdaq Comp (COMPQ)	25775–26800	neutral	26,130.20	35% — the only neutral US equity signal

Russell 2000 (RUT)	2977-3080	bullish	3,005.90	28% — 28.9pts above the floor
Healthcare (XLV)	169-179	bullish	173.54	45% after a -1.00% session
Equal weight (RSP)	219.00-224.00	bullish	222.11	62% — better placed than SPX
Software (IGV)	99.00-106.00	bullish	—	Not in the capture universe; position not measured
Shanghai (SSEC)	3850-3998	bearish	3,935.99	58% of band against a bearish signal
Nikkei 225 (NIKK)	64737-69211	bullish	66,376.89	37% — live, mid-session
German DAX	25903-26492	bullish	26,285.96	65% — Wednesday's European close
Volatility (VIX)	14.01-16.48	bearish	15.22	49% — dead centre, settled
US Dollar (USD)	98.34-99.75	bearish	99.141	57% — upper half against a short
Crude oil (WTIC)	79.09-87.01	bearish	81.83	35% — 2.74 above the floor
Natural gas (NATGAS)	2.67-2.90	bearish	2.922	ABOVE the ceiling by 0.022
Gold spot	4365-4750	bullish	4,625.85	68% — upper third
Copper spot	6.50-6.75	bullish	6.5719	29% — weakest-placed metal long
Silver spot	64-71	bullish	69.118	73% — most extended long on the board

Metals measured on spot (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD) and energy on the continuous contract (NYMEX:CL1!, NG1!) — the series Hedgeye's published lines actually name. Measuring gold on futures instead of spot would have shown 4,680.70 and overstated its band position.

Band movement versus the prior session is UNKNOWN, not unchanged. Tuesday's Early Look — "Broadening Continues Into #Quad1", 25 Aug 07:49 ET — exists in the feed but returns an entitlement block on this account, and the category page does not paginate. A partial two-session comparison is available from KM's Top 3 Things of Monday 24 August: **SPX 7617-7824 → 7611-7819** (floor -6, ceiling -5, width +1); **UST10Y 4.65-4.75 → 4.60-4.73** (floor -5bp, ceiling -2bp, width +3bp); **Gold 4403-4694 → 4365-4750** — floor -38, ceiling +56, and **width 291 → 385, a 32% widening**. Gold's band widened far more than gold moved, which is the more informative fact: the signal is granting the position more room, not less.

What Keith actually said — Early Look, 26 Aug, 19:52 GMT+8:

- "All-time remains a very long time."
- "Don't get me wrong, we're still short USD, but we don't need their narratives to make money."
- "468 of the SP500's companies have reported an epic year-over-year EPS acceleration of +50%"
- "Oil (WTI) just broke our Alpha Code (8483) levels again"
- "Credit markets are throwing a #Quad1 party two doors down from the bears and they're still writing USD crash newsletters."

From The Macro Show of 26 August, 22:38 GMT+8 — *reported outside quotation marks because Hedgeye labels these summaries AI-enhanced and carrying possible errors*: oil was the lead issue, with both the 84 trade and 83 trend levels broken and the floodgates opening on the sell side. Get oil right and you get the Treasury yield signal right. On NVIDIA he said the stock held 208, which is trend, that the risk range was 193-231, that he had **no position**, and that the earnings catalyst was a "nothing burger" — adding that at a 7.3% S&P weight it is too large for a single-stock position in his own account. NVIDIA then rose 4.71% after hours. He also said Nasdaq is showing a lower high and is not the preferred long, that Google "still sucks", and that Hedgeye is long silver, gold, copper miners, New Zealand and now the Canadian dollar, while China stays bearish on trade and trend.

5 Mag7 scoreboard

NAME	LAST	DAY	CAP	READ
NVIDIA	209.66 ▼ 3.39 (-1.59%)		\$5.07tn	Fell into its own print, then +4.71% to 219.53 after hours. Held 208, which Hedgeye calls trend. Largest company on earth and a 7.3% index weight.
Apple	313.45 ▲ 3.55 (+1.15%)		\$4.57tn	Best of the seven in the regular session, and gave back 0.53% after hours. 9.0% below its 344.57 high.
Alphabet	342.00 ▼ 4.96 (-1.43%)		\$4.16tn	Worst of the seven. Remains an explicit Hedgeye short; 16.3% below its 408.61 high.
Microsoft	496.37 ▲ 4.66 (+0.95%)		\$3.69tn	Reclaimed 496 from a 487.31 low. 10.4% below its high.
Amazon	260.28 ▼ 0.78 (-0.30%)		\$2.81tn	Fell on the day it agreed to buy 2 million NVIDIA GPUs for AWS and adopt the new Vera CPU. The buyer of AI capacity is not being rewarded for buying it.
Meta	576.14 ▲ 6.09 (+1.07%)		\$1.47tn	Settled a 29-state addiction suit for \$16.7bn and closed up. Ranged 561.88-593.34 — a 5.6% intraday swing, by far the widest of the seven.

Tesla 345.82 ▼ 4.43 (−1.27%) \$1.37tn 30.7% below its 498.83 high — the deepest drawdown in the group. Hedgeye is not long it.

Three up, four down; combined capitalisation approximately **\$23.1tn**. Every one of the seven trades below its 52-week high, ranging from Apple at −9.0% to Tesla at −30.7%.

6 Positioning & options

- **Volatility was sold into the event, not bought.** VIX closed at 15.22, on its session low of 15.21, down 1.55% on the day NVIDIA reported. Positioning went into the largest single-stock catalyst of the quarter with hedges coming off, not going on.
- **The futures bid is concentrated, and volume proves it.** NQ traded 56,847 lots against ES's 65,478 — normally ES runs several multiples of NQ. RTY managed 4,976 and YM just 3,836. Overnight risk appetite exists in exactly one place.
- **Hedgeye has been cutting exposure into strength.** From 12 longs and one short at the recent lows to four longs now, with the explicit reasoning that the process does not chase. That is a house that bought the dip and is now taking the other side of the enthusiasm.
- **Credit hedging is being re-expressed, not removed.** JOJO added as a short on credit rotation the same morning HYG printed a record. Long the credit, short the rotation.
- **Digital-asset exposure was benched two days ago.** Eight positions to the Long Bench on 25 August, MARA to the Short Bench. Bitcoin has fallen since and is 37.5% off its high.
- **The after-hours tape was broad within semis and narrow outside them.** SMH +2.56%, SOXX +2.52%, MU +3.79%, SNDK +3.74%, WDC +3.25%, AMAT +2.34%, AVGO +1.80%. QQQ +1.18%, SPY +0.60%, IWM +0.25%. The further from a chip, the smaller the move.

7 Sector rotation — leaders & laggards

SPDR SECTOR	CLOSE	DAY	NOTE
Industrials (XLI)	180.34	▲ 1.09%	Leader; closed at its session high
Technology (XLK)	182.84	▲ 0.61%	+1.84% after hours on NVIDIA
Energy (XLE)	62.43	▲ 0.60%	Rose while crude fell — a 1.71% range
Utilities (XLU)	43.51	▲ 0.46%	Hedgeye's only sector short, and it was up
Materials (XLB)	53.67	▲ 0.17%	Within 1% of its 54.19 high
Financials (XLF)	58.26	▼ 0.09%	0.25% off its 52-week high — the best-placed sector on the board
Consumer Staples (XLP)	86.27	▼ 0.29%	Gave back part of Monday's short-squeeze gain
Communications (XLC)	112.61	▼ 0.50%	Dragged by Alphabet despite Meta rising
Real Estate (XLRE)	45.09	▼ 0.60%	Rate-sensitive, and the belly sold off
Cons. Discretionary (XLY)	117.16	▼ 0.67%	Amazon and Tesla both lower
Health Care (XIV)	173.54	▼ 1.00%	Laggard — the day after revisiting all-time highs

- **Leaders:** industrials, technology and energy. Industrials leading while the Dow fell is a reminder that the Dow's price weighting does not track the sector.
- **Laggards:** healthcare, discretionary and real estate. Healthcare falling 1.00% the session after an all-time high is the rotation story, not the AI print.
- **Rotation:** five sectors up, six down — yet **RSP rose 0.153%** while the cap-weighted S&P fell 0.021%. Equal weight beat cap weight on a down day, which says the median stock had a better session than the index did. Hedgeye's own Chart of the Day on 25 August made the same point: RSP +7.0% against SPX +1.8% since May.
- **The energy sector rose while its underlying commodity fell 8-9% over two days.** Either the equities are discounting the crude break as temporary, or they are lagging it. Hedgeye separated these explicitly: oil breaking down is a macro signal, not a dip-buying call on oil services.

8 Forward — futures & the week ahead

Six hours into the Globex session, the overnight tape has done one thing: repriced semiconductors. ES sits **51.3 points** above S&P cash, of which roughly 14 is carry and 37 is the NVIDIA response. NQ leads at **+0.87%** on volume nearly matching ES's, while RTY has managed **+0.05%** on 4,976 lots. Treasury yields are a touch higher across the belly, the dollar has not moved at all, and gold and silver have quietly recovered the whole of Wednesday's New York decline. The single instrument carrying an unresolved technical conflict into today is natural gas, trading above the top of its risk range with a bearish trend signal beneath it.

DAY (GMT+8)	KEY EVENTS
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Thu 27 Aug — today	Jackson Hole Economic Policy Symposium opens , Jackson Lake Lodge, Wyoming, running to Saturday 29 August. Theme: "Financial Innovation: Implications for Payments and Policy". US data due 20:30 GMT+8: initial jobless claims, Q2 GDP second estimate, durable goods orders, pending home sales (<i>secondary calendar — unconfirmed</i>). Bank of Korea has already raised its policy rate 25bp to 3.00% . Thursday's Hedgeye Early Look publishes ~19:52 GMT+8 and supersedes every risk range in section 4.
Fri 28 Aug	Kevin Warsh delivers his first Jackson Hole keynote as Fed chair . The keynote has historically landed near 10:00 ET (22:00 GMT+8); the 2026 agenda had not been published at the time of capture, and the Kansas City Fed typically releases it the evening before. This is the week's largest scheduled risk event.
Sat 29 Aug	Symposium concludes.
Week ahead	Post-Jackson Hole positioning into month-end on Monday 31 August, with September's Quad 1 call the frame Hedgeye is trading against.

Calendar entries verified where possible against the Kansas City Fed's symposium listing. The Thursday US data slate is drawn from a secondary calendar and the individual releases are flagged unconfirmed; the Jackson Hole dates and the identity of the keynote speaker were both verified directly because both have been sources of error in this brief before.

9 Corporate news

- **NVIDIA, Q2 FY2027, after the close.** Revenue **\$96.2bn** (+106% y/y); EPS **\$2.22**, more than double the year-ago figure; data centre **\$89bn** (+117%) against \$86.33bn expected, now 92% of total revenue. Q3 guidance **\$108bn ±2%** versus \$104.2bn consensus, and stated to include **no** Chinese data-centre revenue. Jensen Huang guided to roughly **70%** revenue growth for fiscal 2028, far above street estimates. Shares +4.71% after hours.
- **Amazon and NVIDIA announced that AWS will purchase 2 million NVIDIA GPUs** and deploy the new Vera CPU. Amazon shares fell 0.30% on the session.
- **Meta settled with 29 state attorneys general for \$16.7bn** over child mental-health harms on Facebook and Instagram — potentially up to \$17.1bn if TikTok and YouTube also settle, with California receiving \$1.5–2.1bn. Terms include daily usage limits for teenagers, nighttime access blocks, enhanced age assurance and new parental tools. The settlement requires court approval. Shares closed **up 1.07%** after a 5.6% intraday range.
- **CrowdStrike reported fiscal Q2 after the close**, with the street looking for roughly 23.2% revenue growth against 21.3% a year earlier. The stock is not in this morning's capture universe and no post-print reaction was verified — see Known Gaps.
- **Workday fell 1.89% in the session and rose 4.14% after hours**, the second-largest after-hours move in the capture set after the semiconductor complex.
- **Eli Lilly fell 3.59% to 1,189.41**, a 44.25-point decline and the largest single-name drop in the capture universe. Range 1,180.01–1,235.78. **No driver for this move was established from any source read this morning**; it is reported as an observed fact only.
- **Oracle rose 2.84% and Palantir 2.76%**, the two strongest large-cap software prints of the session. Oracle nonetheless trades **56.9%** below its 345.72 52-week high.
- **Western Digital rose 4.02% and added a further 3.25% after hours**; SanDisk rose 1.26% and 3.74%. Storage is being repriced alongside compute.

10 Macro data

- **July PCE price index: +3.7% year on year, against consensus of 3.6% — a tenth hot.** This is the Federal Reserve's preferred inflation gauge and it was the session's macro event.
- **Core PCE: +3.3% year on year, +0.2% month on month.** Consensus is reported inconsistently across outlets — some describe 3.3% as exactly in line, others cite a 3.2% forecast, which would make it a tenth hot as well. Both readings are recorded here; the ambiguity is real and unresolved. June core was 3.3%, so core did not decelerate either way.
- **The market read it as sticky rather than alarming.** The five-year yield rose 2.0bp, the ten-year 0.7bp, and the MOVE index *fell* 3.45% to 69.44. Bond volatility declining on a hot inflation print is a market that does not believe the print alters the path.
- **Bank of Korea raised its policy rate 25bp to 3.00%** this morning. The KOSPI is up 1.54% and the won has firmed 0.46% since — a rate rise received as a growth signal rather than a tightening shock.
- **Earnings are the strongest macro input on the board.** 468 S&P 500 constituents have now reported, with year-on-year EPS acceleration of roughly **+50%**. That figure is Hedgeye's and is cited as reported.
- **Today's US slate** — initial jobless claims, the second estimate of Q2 GDP, durable goods orders and pending home sales, all nominally 20:30 GMT+8. Drawn from a secondary calendar and **unconfirmed**; no consensus figures are printed here because none could be verified against a primary source this morning.

11 Geopolitics

- **Oil is now the primary transmission channel for geopolitical risk into this market**, and it moved twice on Wednesday in opposite directions. Crude rose on a report that Russia was planning an escalation in Ukraine, then reversed the entire gain after Iran's military said it had reached a revenue-sharing agreement with Oman covering the Strait of Hormuz. Brent has fallen more than 7% on the week.
- **▼ The Iran-Oman Strait of Hormuz arrangement**, as described, would ease passage in exchange for maritime service fees paid through a newly established corporation. It is attributed to Iran's military; it has not been independently confirmed and the terms as reported are contested.
- **▲ The reported Russian escalation plan** is exactly that — a report. It moved crude futures before being faded within the session, which is a reasonable proxy for how much the market credited it.
- **◆ None of this is priced as a supply shock**. Crude is down 8–9% in two sessions with both a Hormuz story and a Russia story live in the same week. When a market ignores both bullish geopolitical inputs simultaneously, demand expectations are doing the work, not supply fears.
- **◆ Nothing verified this morning connected geopolitical developments to the equity tape**. The Wednesday session and the overnight move are fully accounted for by PCE and by NVIDIA. Geopolitics is currently an oil story only.

Wire coverage of 26–27 August was thin and several searches returned material from prior years. Claims above are attributed to the party that made them and none is stated as established fact. See Known Gaps.

12 Overnight setup — what Asia opens into (Asia is already trading — see note)

This section normally describes a pre-open setup. It cannot today. The run fired at 12:11 GMT+8 rather than 06:00, so Tokyo and Seoul are roughly four hours into their sessions, Hong Kong nearly three, and the levels below are live mid-session prints, not the levels Asia opened into. What follows is therefore what Asia *has done* with the US handover.

INSTRUMENT	LIVE 12:11 GMT+8	CHANGE	NOTE
ES / NQ / YM / RTY	7,727 / 29,543 53,696 / 3,011.5	+0.48% / +0.87% +0.33% / +0.05%	Volumes 65,478 / 56,847 / 3,836 / 4,976. Conviction is in NQ alone.
KOSPI	6,912.80	▲ 1.54%	The region's leader. BOK +25bp to 3.00%. Off its 6,996 high of the day.
Shanghai Composite	3,935.99	▲ 0.60%	58% of a Hedgeye band whose TREND signal is bearish.
Nikkei 225	66,376.89	▲ 0.17%	Opened at 66,775.78 and has given back the gap. Low 65,782.59.
Hang Seng	25,544.94	▼ 0.42%	The regional laggard, and the only major Asian index lower.
ASX 200	9,046.80	▼ 0.89%	Weakest in the region; trading at its session low.
Sensex	77,486.98	▲ 0.02%	Unmoved by the semis bid — no meaningful chip weighting.
USD/JPY	159.351	▲ 0.04%	Range of 0.28 figures across a full Tokyo morning.
USD/KRW	1,379.28	▼ 0.46%	Won firmest since the session open; the clean semis proxy.
USD/TWD	31.722	▼ 0.34%	At its session low. Taiwan is the second semis proxy and it agrees.
USD/CNH	6.7211	▼ 0.02%	Within 0.0065 of the 6.7146 52-week low — strongest yuan in a year.
EUR/USD	1.1655	▲ 0.02%	Inert alongside a flat dollar index.
Gold / Silver / Copper	4,625.85 / 69.118 6.5719	+0.69% / +1.48% +0.16%	All three spot, all three higher, all three reversing the New York session.
WTI / Brent	81.83 / 86.51	−0.49% / −1.51%	Still falling in Asian hours. No stabilisation yet.
Bitcoin / Ether	78,850 / 2,493.66	−0.20% / −0.52%	Both lower while equity futures rally. The decoupling is intact.

- **The US tape handed Asia one sector and Asia took exactly that sector**. Korea and Taiwan — the two semiconductor exporters — lead in both equities and currency. Hong Kong and Australia, with no comparable chip weighting, are lower. This is a precise, mechanical read-through, not a broad risk-on session.
- **Europe closed Wednesday before any of this**. DAX 26,285.96 (+0.08%), Euro Stoxx 50 6,470.75 (+0.23%), CAC 8,462.39 (+0.28%), IBEX 20,067.29 (+0.05%), FTSE 100 10,878.11 (−0.07%). **All are previous closes** and none has seen the NVIDIA print. The DAX sits at 65% of its Hedgeye band.
- **The single instrument most likely to move from here is natural gas**, trading above the ceiling of its published range against a bearish trend signal. Second is USD/KRW, which has an interest-rate decision and a semiconductor catalyst pushing the same way on the same morning.

- **What Asia has not repriced is the inflation print.** The regional bid is entirely a chip story. If Warsh is hawkish in Wyoming tomorrow, none of this morning's Asian strength has that in it.

13 AI watch

- **The capex question was answered for one more quarter and one more customer.** AWS committing to 2 million GPUs is the largest single disclosed order in the set, and it arrived with guidance that explicitly excludes China. NVIDIA is now guiding to \$108bn a quarter without the second-largest computing market on earth.
- **Huang's roughly 70% fiscal-2028 growth forecast is the number that matters more than the quarter.** A beat is a data point; a multi-year growth guide far above consensus is a claim about the shape of the buildout. It is a forecast, made by an interested party, and should be weighted as such.
- **The market's response was to buy the supply chain, not the theme.** Memory and storage led after hours — MU +3.79%, SNDK +3.74%, WDC +3.25% — ahead of the broad semis ETFs at +2.5%. Buying the bottleneck rather than the brand is what a market does when it believes volume guidance specifically.
- **The hyperscalers that pay for it did not rally.** Amazon fell 0.30% on the day it announced the purchase; Alphabet fell 1.43%; Microsoft rose 0.95%. The revenue side of AI is being rewarded and the cost side is not.
- **Hedgeye had no position in NVIDIA into the print and called the catalyst a "nothing burger".** The stock rose 4.71% after hours. Recorded because it happened, and because a process that declines to take a position is not the same as a process that was wrong about direction — but the call as stated did not anticipate the move.
- **Software was not part of this.** Hedgeye's IGV band is 99.00–106.00 with a bullish trend, and Keith has said he continues to buy software dips rather than semis. That divergence — long software, no semis, into a semis melt-up — is the clearest active disagreement between the house view and the overnight tape.

14 Beyond the markets

- **The Federal Reserve has a new chair and this is his first Jackson Hole.** Kevin Warsh was confirmed 54–45 on 13 May — described as the most divisive vote in the institution's history — and sworn in on 22 May as the seventeenth chair. Jerome Powell served as chair pro tempore in the interim. Every model of Fed reaction function built on Powell's decade is now of uncertain use, and tomorrow is the first extended sample.
- **This year's symposium theme is "Financial Innovation: Implications for Payments and Policy"** — not inflation, not employment. A payments-and-innovation agenda under a new chair is where stablecoin, tokenisation and central-bank digital currency policy would surface if it were going to.
- **Intel is up 273% from its 52-week low of 23.68**, closing at 88.24. It rose 0.87% on Wednesday and added 1.93% after hours. Nobody is writing about the largest percentage recovery in American large-cap semiconductors.
- **SanDisk trades at 1,499.37 against a 52-week low of 48.56.** Whatever the corporate history behind that range, it is the most extreme 52-week span in the capture universe by a wide margin and it belongs in the record.
- **Netflix at 81.46 sits 35.7% below its 52-week high**, and Oracle at 148.87 sits 56.9% below its own. Two of the most-discussed large caps of the past two years are in deep drawdowns during a week when the index is 1.8% from a record.
- **Dolly Parton died on 25 August, aged 80.** Hedgeye's Early Look was written around it and renamed its Goldilocks regime in her honour. It is not a market event; it is why the flagship note this morning reads the way it does.

15 Appendix — stock cards

NVDA · NVIDIA**209.66 ▼ 1.59%**Cap \$5.07tn · 11.4% below 52-wk high · after hours **219.53**, +4.71% · Hedgeye range 193-231, position 44%

Beat on every line and guided \$108bn against \$104.2bn, excluding China entirely. Held the 208 trend level into the print. The catalyst is now behind it and the next one is a quarter away.

MU · MICRON TECHNOLOGY**938.40 ▲ 0.58%**Cap \$1.06tn · 25.2% below 52-wk high · after hours **974.00**, +3.79% · no published Hedgeye range

The largest after-hours move in the memory complex. Being bought as the physical bottleneck in the guidance, not as an AI proxy. Still a quarter of the way down from its own high.

WDC · WESTERN DIGITAL**468.88 ▲ 4.02%**Cap \$169bn · 41.4% below 52-wk high · after hours **484.11**, +3.25% · no published Hedgeye range

Best regular-session performer in the capture universe and it added again after hours. Storage repricing alongside compute, from a drawdown twice as deep as NVIDIA's.

AMD · ADVANCED MICRO DEVICES**480.93 ▲ 0.37%**Cap \$785bn · 17.8% below 52-wk high · after hours **484.91**, +0.83% · no published Hedgeye range

The muted response is the tell. A genuine second source of AI compute would have moved more than 0.83% on this guidance. The market is not treating the buildout as vendor-diversified.

LLY · ELI LILLY**1,189.41 ▼ 3.59%**

Cap \$1.12tn · 8.0% below 52-wk high · range 1,180.01-1,235.78 · no published Hedgeye range

The largest single-name decline in the capture set, and the heaviest weight behind healthcare finishing last among the eleven sectors. **No driver was established from any source read this morning.****ORCL · ORACLE****148.87 ▲ 2.84%**Cap \$429bn · **56.9% below 52-wk high** · after hours 151.37, +1.68% · no published Hedgeye range

Strongest large-cap software print of the session, from the deepest drawdown in the entire capture universe. A 2.84% day does not materially change a 56.9% decline.

PLTR · PALANTIR**177.50 ▲ 2.76%**

Cap \$427bn · 14.5% below 52-wk high · range 168.90-178.49 · no published Hedgeye range

Closed within a point of its session high after a 5.7% intraday range. One of the few names outside semis to participate in the AI bid during regular hours rather than after them.

WDAY · WORKDAY**190.75 ▼ 1.89%**Cap \$47.1bn · 23.7% below 52-wk high · after hours **198.65**, +4.14% · no published Hedgeye range

Reported after the close and reversed the session decline and more. The largest after-hours move outside the semiconductor complex in the capture universe.

Prices are Wednesday's settle; after-hours figures are the last post-market print from the same source. Hedgeye ranges are published only for the instruments listed in section 4 — "no published Hedgeye range" means no band exists to measure against, not that one was omitted.

16 About this edition

- **Covers** — the Wednesday 26 August US cash session as settled (16:00 ET = 04:00 GMT+8), the after-hours tape including NVIDIA, CrowdStrike and Workday, the Globex session to the moment of capture, and — unusually — the Asian cash session already in progress.
- **Captured** — 12:11:59 to 12:12:01 GMT+8, a window of **2.4 seconds**. TradingView primary, returning 96 of 96 instruments. Yahoo Finance aborted on its rate-limit circuit breaker and returned nothing, so this edition is **single-sourced on machine data**; the cross-check was recovered by hand from press settle reports and is documented in section 18.
- **Off-schedule run** — this task fired at **12:11 GMT+8, six hours and eleven minutes after its nominal 06:00**. Consequence: Tokyo and Seoul are about four hours into their sessions and Hong Kong nearly three, so section 12 reports a live Asian tape rather than the pre-open setup it is designed to describe, and the US cash rows are eight hours old rather than two.
- **Settled versus live** — settled: all US cash equity indices, the eleven SPDR sectors, the Mag7 and stock-card prices, VIX, and all European indices. Live: equity futures, Treasury yields, energy, spot metals, all FX, crypto, and all Asian indices.
- **Hedgeye edition** — FULL HEDGEYE EDITION. The live risk-range set is the Early Look "**#Quad1 Dollylocks**" by Keith McCullough, 26 August 07:52 ET = 19:52 GMT+8, superseded by Thursday's Early Look at roughly 19:52 GMT+8 today. Also read: The Macro Show summary and replay (26 Aug), ETF Pro Plus update (26 Aug), Signal Strength Stocks (26 Aug), KM's Top 3 Things (24 Aug) and the Digital Assets Position Monitor (25 Aug).
- **Quad path** — stated in prose only, as July monthly **#Quad4** re-accelerating into September **#Quad1**. **No formal path notation was printed in anything read this morning** and August is not stated. No change is claimed, and none is ruled out.
- **Not available** — Tuesday's Early Look (entitlement-blocked, so day-on-day band moves are unknown); MOMO Tracker, Crypto Quant, Capital Allocation Pro and Real-Time Alerts, none of which appeared in the feed window read; the US Monthly Quad Forecast; and any verified post-earnings reaction for CrowdStrike.

17 Sources

Prices. TradingView bulk scanner, 96 instruments in a single call at 12:11:59 GMT+8 — closes, ranges, volumes, 52-week extremes, capitalisations and post-market prints. Yahoo Finance was queried concurrently as the

independent cross-check and aborted at 12:12:01 on a rate-limit circuit breaker after five consecutive HTTP 429s. Spot metals via TVC and OANDA; energy via NYMEX continuous contracts.

Hedgeye. The logged-in research feed at app.hedgeye.com, read between 12:13 and 12:26 GMT+8: the Early Look of 26 August, The Macro Show summary notes and replay of 26 August, the ETF Pro Plus update, Signal Strength Stocks, KM's Top 3 Things of 24 August and the Digital Assets Position Monitor of 25 August. Tuesday's Early Look was located but returned an access block.

Macro and policy. CNBC and Yahoo Finance for the July PCE release and its market reaction; the Federal Reserve Board and contemporaneous CNBC, Al Jazeera and Spectrum News reporting for the Warsh confirmation and swearing-in; the Federal Reserve Bank of Kansas City and secondary previews for the Jackson Hole dates, theme and keynote arrangements.

Narrative and single stocks. CNBC, Yahoo Finance and TheStreet for the Wednesday session recap; NVIDIA's results via CNBC, CoinDesk and S&P Global Market Intelligence; the Meta settlement via CNBC, Forbes, UPI and Business Standard; CrowdStrike via Barchart and company investor-relations material.

Commodities, geopolitics and Asia. Bloomberg's oil market wrap for 27 August on the Hormuz and Ukraine headlines; Yahoo Finance, Nasdaq and AOL wire copy for the Asian session and the Bank of Korea decision. Geopolitical searches returned substantial prior-year material and were treated accordingly.

18 Data-confidence

CROSS-CHECKS PASSED

- **The machine reconciliation is empty and that is not a clean result.** The capture script reports **0 matched within 5bp, 0 minor, 0 divergent, 57 single-sourced**. There are no divergent rows to resolve *because no second machine source ran* — Yahoo returned 0 of 62 instruments and tripped its circuit breaker after five consecutive HTTP 429s, aborting in 2.4 seconds. This must not be read as agreement between two sources.
- **The cross-check was recovered by hand on the three rows that matter most, and it passed exactly.** Independent press settle reporting of the Wednesday session gives S&P 500 **7,675.70**, Nasdaq Composite **−0.08% to 26,130.20**, and Dow **−113.52 (−0.21%) to 53,463.88**. All three agree with the TradingView capture to the decimal. That is genuine two-source validation on the headline indices.
- **Cash index arithmetic is internally self-consistent on all four majors.** S&P: $7,675.70 + 1.58 = 7,677.28$ prior close, and $1.58 \div 7,677.28 = 0.0206\%$, matching the reported -0.02058% . Dow: $113.52 \div 53,577.40 = 0.2119\%$ ✓. Nasdaq: $21.1031 \div 26,151.30 = 0.0807\%$ ✓. Russell: $4.1216 \div 3,010.02 = 0.1369\%$ ✓.
- **Futures-versus-cash basis confirms the settle rows are settles and the futures rows are live.** ES at 7,727.00 less its 37.00 change implies a 7,690.00 settle; against the 7,675.70 cash close that is a **+14.30 basis**, a normal fair-value carry for a September contract. The remaining **+37.00** is therefore genuine overnight repricing, not a mislabelled row. NQ implies a 29,289.50 settle on the same logic.
- **The NVIDIA after-hours arithmetic checks out.** 209.66 to 219.53 is +9.87, or +4.708%, matching the reported post-market change field to three decimals.
- **Two live Asian rows were independently corroborated.** The capture has KOSPI +1.536%; wire copy independently reported the KOSPI up 1.5% and the Bank of Korea raising 25bp to 3.00%. The rate decision and the index move agree across sources.
- **Hedgeye's own numbers are internally consistent.** The Early Look prints an S&P band of 7611–7819; the Macro Show, published nearly three hours later, independently cites 7,818 as the higher-high level. Two Hedgeye publications, one band.

KNOWN CONFLICTS AND WEAK MARKS

- **Core PCE consensus is genuinely disputed and both readings are printed.** Some outlets describe 3.3% as exactly in line; others cite a 3.2% forecast, which would make core a tenth hot alongside the headline. This brief prints 3.3% actual and records the ambiguity rather than picking a winner. The headline figure — 3.7% against 3.6% — is not disputed.
- **Press quotes of the Asian session disagree with each other and with the capture.** One report has the Nikkei down 0.4%, another up 0.9%; the 12:11 GMT+8 capture has it **+0.17%**. These are snapshots taken at different points in a live session, not contradictions of fact. The capture time is the reference throughout section 12, and no press figure has been substituted for it.
- **The Brent decline may be partly a contract-roll artifact and this cannot be separated.** BZ1! fell 1.51% against WTI's 0.49%, and this contract is days from its month-end roll. Isolating roll from move requires the term structure, which was not captured. Treat the direction as real and the magnitude as uncertain; the WTI figure is the sounder of the two.
- **FX change figures this morning are close to noise and are labelled as such.** The dollar index moved 0.008 on a session range of 0.060 points; USD/JPY ranged 0.28 figures across an entire Tokyo morning. Where a currency row is described as inert, that is the finding — it is not a move being dressed up as one.
- **Market capitalisations rest on a single field from a single source.** The \$23.1tn Mag7 aggregate is robust to roughly $\pm 1\%$; the individual decimals are not, and no attempt should be made to reconcile them against share-count arithmetic.
- **Drawdown percentages depend on one 52-week-high field each.** The SOX at 20.8% below its high, Oracle at 56.9% and Bitcoin at 37.5% are the load-bearing figures in this brief. **The conclusions are robust; the decimals are not.** Each is single-sourced.
- **NVIDIA's "held 208 trend" and its 193–231 range come from the Macro Show summary, which Hedgeye labels AI-enhanced and error-prone.** They are reported as attributed summary, outside quotation marks, and were not corroborated against the Early Look, which does not carry a single-stock range.
- **Eli Lilly's 3.59% decline has no established cause.** It is the largest single-name move in the capture set and it is reported as an observation only. No explanation should be inferred from its placement next to the healthcare sector commentary.

KNOWN GAPS

- **Day-on-day risk-range moves are UNKNOWN, not unchanged.** Tuesday's Early Look, "Broadening Continues Into #Quad1" of 25 August 07:49 ET, exists in the feed but returns an entitlement block on this account, and the category page does not paginate. The two-session comparison in section 4 is drawn from Monday's KM's Top 3 Things and covers only three instruments; it is explicitly labelled as such.
- **The MOMO Tracker, Crypto Quant, Capital Allocation Pro and Real-Time Alerts did not appear in the feed window read this morning.** These are precisely the publications that would carry an intraday position change. **Their absence is not evidence that no position change occurred.**
- **No formal Quad path notation was seen anywhere.** The path lives in the US Monthly Quad Forecast inside the Macro Week Summary Notes, behind a link not reached this morning. July #Quad4 into September #Quad1 is reported because it was written in prose; August is not stated and is not guessed at.
- **IGV is not in the capture universe,** so the 99.00-106.00 software band is reproduced without a measured position — the one incomplete cell in the risk-range table.
- **Today's US data slate is from a secondary calendar and is unconfirmed.** No consensus figures are printed for jobless claims, the Q2 GDP second estimate, durable goods or pending home sales, because none could be verified against a primary source. One search returned a GDP figure so implausible it was discarded rather than printed.
- **CrowdStrike's post-earnings reaction was not verified.** The company reported after Wednesday's close, it is not in the capture universe, and no reliable reaction figure was found.
- **Geopolitical wire coverage for 26-27 August was thin and search results were heavily contaminated with prior-year material.** Section 11 is correspondingly short, every claim is attributed to the party that made it, and nothing contested is stated as fact.
- **There is no pre-open Asian setup in this edition** because Asia was already trading when the run fired. Section 12 reports what Asia has done, not what it opens into.

TIMING & UNVERIFIED

- **Capture window: 12:11:59-12:12:01 GMT+8, 2.4 seconds.** Every live row in this document comes from inside that window. No top-up pass was needed and no row carries a separate capture time.
- **The run fired at 12:11 GMT+8, six hours and eleven minutes late.** The stalest rows in the brief — US cash equities, the eleven sectors, the Mag7, the stock cards and VIX — are **8 hours 11 minutes** old. European closes are **12 hours 41 minutes** old. The futures rows contain **6 hours 12 minutes** of session.
- **Crypto is the only instrument here that has traded continuously** through the entire period this brief covers. Every other market has had a gap in it.
- **All risk ranges in section 4 will be superseded at roughly 19:52 GMT+8 today** when Thursday's Early Look publishes. They are Wednesday's set and they are approximately sixteen hours old at the time of writing.
- **Two scheduled events will invalidate parts of this brief within a day.** The US data slate at 20:30 GMT+8 today, and Kevin Warsh's first Jackson Hole keynote as Fed chair tomorrow — an event with no precedent to calibrate against, into a headline inflation print that came in hot.
- **Verify every live price before acting on anything in this document.** The futures, FX, metals and crypto levels were true for two seconds this morning and the market has been open since.